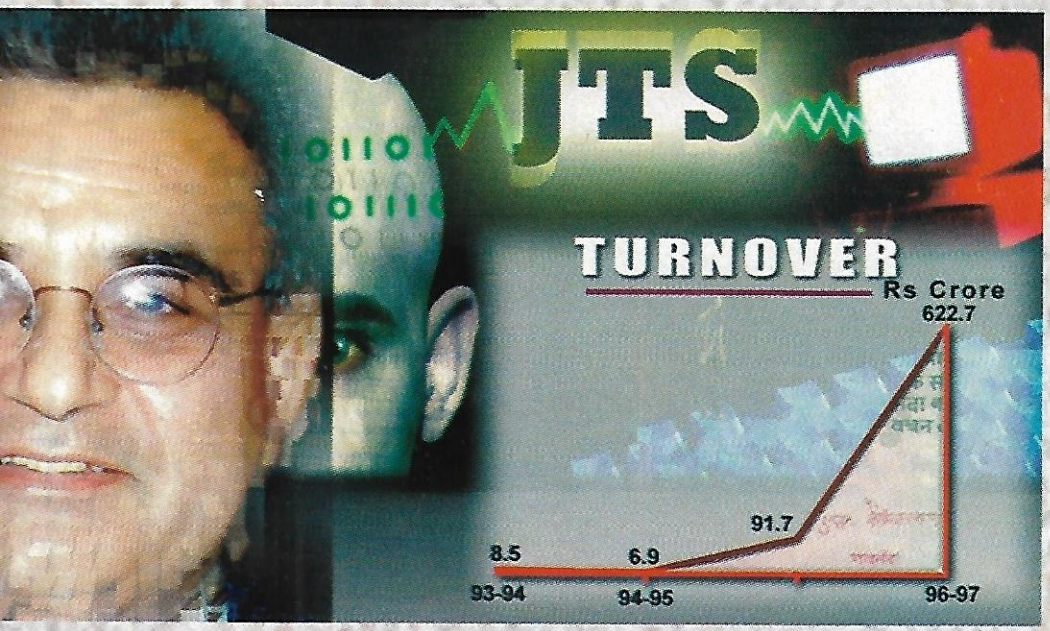


Storming the Top 20 bastion, this Tandon Group company will help India figure in the global hardware map.

3 Hard Drives Deliver

Talking of storming into the Top 20 club and that too within a place among the Top 5. JTS Technology Ltd did exactly that last year, with Rs 622.76 crore—nearly seven times its turnover in 1995-96. The entire business came in through exports of Hard Disk Drives (HDDs), thereby making the company the single largest hardware exporter in the country. JTS shipped more than a million units of HDDs and subsystems during the year, earning a net profit of nearly Rs 28 crore.

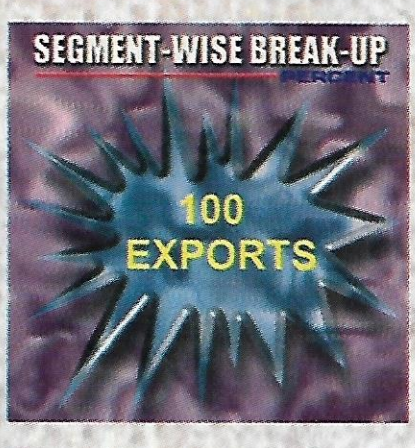
Known till last year as Modular Electronics, the company changed its name this year following a collaboration with San Jose-based JTS Corp., an HDD manufacturer. Prior to that, Modular was into manufacturing of record heads and voice coils. The collaboration brought about a change in the focus and the company launched itself into the globally competitive market for manufacturing and supplying quality HDDs to leading PC manufacturers. The manufacturing is being done out of the Chennai EPZ.

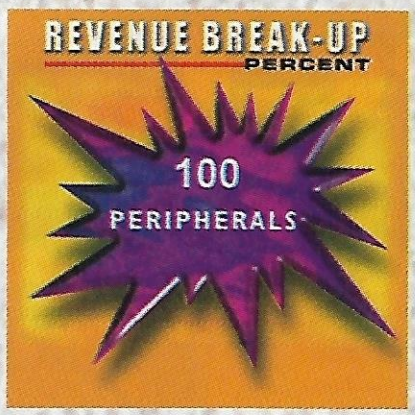
Competing in the global market for a finished product like HDDs demands adherence to global quality manufacturing processes and practices, and superior logistics capability to provide drives to any corner of the globe. The HDD industry can be characterized as an oligopoly with a relatively few number of companies dominating the industry. The key players like Western Digital, IBM, Seagate Technology, Quantum, and Maxtor are multibillion-dollar companies well-entrenched in the market.

In fact, the HDD industry's extremely competitive nature is forcing more companies, with small marketshares, to drop out of the business. At the beginning of the nineties, 59 companies manufactured drives

FORECAST

- Manufacturing capacity to be expanded to 2.5 million drives in 1997-98
- May look at the domestic market
- Likely to go in for more OEM tie-ups





worldwide, but in the current year there are only 22 active manufacturers (which is a reduction of four from the previous year). Though it is one of the most competitive industries in the world, the HDD industry also continues to maintain a growth rate that most other industries would be delighted to register. (Sales this year are expected to reach $ 34 billion).

In such a scenario, JTS competes with the best in the world and has demonstrated success right from the beginning. Product design and quality are key success factors. In an industry where the product life-cycles do not extend beyond a few months, maintaining the lead is quite challenging.

The JTS family of HDDs incorporates a design philosophy that has led to the development of drives that consume low power, integrate a high level of electronics, and are simpler to interface with the system. The company has recently launched multimedia-ready HDDs for desktops. For a sustained data transfer rate of 29 Mbps, the hard drives combine advanced Adaptec electronics, enhanced IDE interfaces, embedded servo, high storage capacity, large buffer size, error-correction algorithms, and proprietary microcode.

Achieving smaller drive sizes is another relentless goal. For example, the desktop line of JTS HDDs have a 3 1/2" footprint but measure only 1/2" in height (which is one half the dimension of other competitive products). Similarly for the notebook line, JTS is designing a unique 3" footprint in collaboration with Compaq (which has committed to procuring high volumes of HDDs from the company).

The products being manufactured by the company are with the latest trend of 'small form factor' drives with high capacity—what is ideally suited for notebooks. JTS supplies HDDs to OEMs like Compaq, Dell, NEC, HP, DEC, and Zenith. Presently, the installed capacity is 1.2 million drives per annum. This will be expanded to 2.5 million drives in the coming year, as the market for drives is poised for a major growth. The worldwide market for HDDs is around 140 million units per year and is expected to reach 200 million units in the next two years. JTS can also try and tap into the thriving after-market for HDD subassemblies in the West. This will enable the company to expand into newer markets outside OEM vendors, where the margins, by definition, are lower.

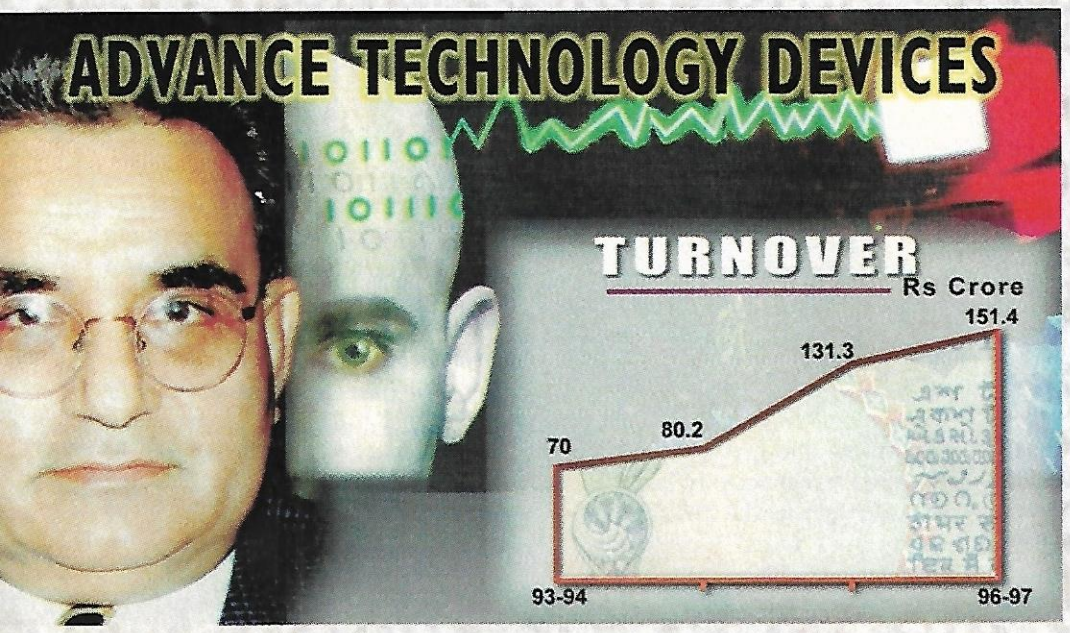
The Group's manufacturing operations in India now spread over three vast ultra-modern high-capacity sites at SEEPZ, MEPZ, and NEPZ, together amounting to over 5,00,000 sq. ft of space. JTS is the only hard drive manufacturer in the Indian subcontinent. However, global majors like Seagate and Quantum are focusing their efforts on the Indian market: Seagate has announced that it will focus on developing OEM relationships and develop a second-tier distribution channel in the country. Its strategy is to cover all markets with best-fit products to maximize profits and performance.

Similarly, other HDD vendors will also flock Indiaward as and when the volumes go up. It is this opportunity that JTS must seize and seize early. Therefore it is imperative that it devote more attention to the domestic market, even though the present size is not significantly large. For the moment, the exports market may seem to be very attractive. But to sustain long-term competitiveness, the domestic market would become equally important. Also, as and when the volumes in the PC market go up—as they promise to—JTS will be in a unique position to provide low-cost, high-quality HDD subassemblies for Indian manufacturers or any MNC which may want to set up base in the country.

JTS could also become the reason for some of the MNC vendors to enter the country for volume manufacturing. It is a matter of national pride that JTS is able to compete in supplying critical components to the global computer markets. In a country where volume manufacturing is a four-letter word, especially in the IT industry, JTS' performance and the market it has achieved success in should be the beacon for the other hopefuls in the country. If there is a manufacturing success in the hardware industry in the country, the honors go to this Group. ■

JTS TECHNOLOGY LTD

YEAR OF START-UP	:	1988
PRODUCTS/SERVICES	:	Hard Disk Drives, subassemblies
TECHNICAL/FINANCIAL COLLABORATION	:	JTS Corp., USA
CEO	:	ML Tandon
EMPLOYEES	:	6,555
HEAD OFFICE	:	406 Dalamal Towers, Nariman Point, Mumbai 400021
TEL	:	8300502



Facing the international markets with technology leadership will be the key to success for this exporter.

19 Hanging In There

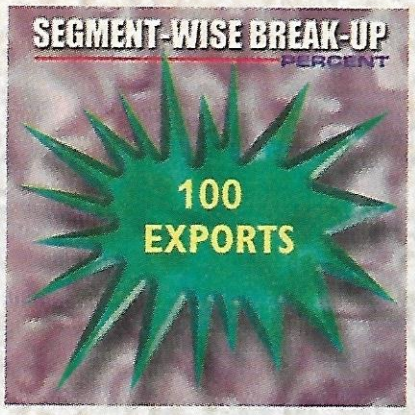
Mumbai-based Advance Technology Devices (ATD) had the habit of exiting and entering the DQ Top 20 club every alternative year. But in 1996-97, sluggish growth notwithstanding, the company retained its membership for the second consecutive year, thereby breaking the pattern. Although it had re-entered the DQ Top 20 club the previous year at # 18, this year it has slipped to the 19th position. The hardware export-oriented company, set up in 1986 in SEEPZ (Mumbai), increased its revenues from Rs 131.31 crore in 1995-96 to Rs 151.41 crore in 1996-97. But it was no longer the largest revenue earner for the Tandon Group, as the 15.3-percent growth was no match to the previous year's whopping 64 percent.

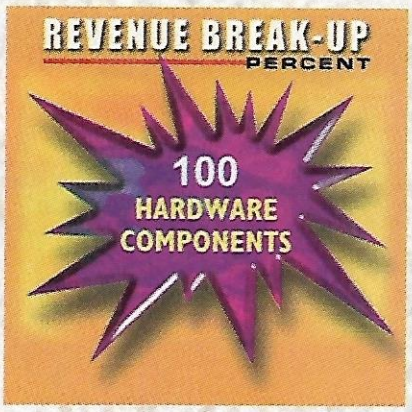
While the company's customer base largely continues to remain the same—99.5 percent of its revenues came from its existing customers—it seems to be looking at tapping unexplored markets as well. For one, the company seems to be keen on selling some of its products in the domestic market. However, that might be pretty difficult as there would be very little demand for ATD's products in the Indian market, unless it sells them to its sister concerns. Despite this, the fact that it has been able to retain its existing customer base and has even fulfilled their increasing demands bodes well for the company.

The steps ATD took a year before last seem to be paying off. The revamping of production as well as supply management divisions, implementation of strict quality control, and strategies to promote exports helped the company to become a force to reckon with in the international arena, where both quality and price rule. This certainly helped the company in retaining its customers. An ISO 9002-

FORECAST

- Domestic customer base to be widened
- Will meet with increasing competition in the international markets
- Likely to face pricing pressures in the coming months
- Opportunity for forward integration





certified company, ATD also holds the status of a trading house.

While the Tandon Group has made it a habit of bagging awards for hardware exports, this would not be possible without ATD's large and timely contribution. The company contributed to the Groups' coffers by manufacturing Winchester headstacks and head gimbal assemblies—two crucial components in the manufacture of storage devices—for the fiercely competitive export market. While focus on quality is one aspect of ATD's success, it has to be mentioned that the company also invested significantly in developing the required engineering skills and in setting up an advanced R&D facility.

Despite the company's limited growth last year, the conditions for growth are becoming more conducive. As per the recent Union Budget, EHTP, EOU, and EPZ schemes are being reworked to suit the needs of the exporters operating from these special zones. Thus, companies like ATD would be able to sell more in the Domestic Tariff Area at concessional rates. Besides, benefits like MAT (Minimum Alternative Tax) and exemption on export earnings would also accrue, boosting their bottomlines.

As a result, the outlook for this year seems very positive for ATD. Already dealing in sizable volumes, the company has gained the required expertise in dealing with the turmoil associated with the international markets. Also, having invested sizable amounts in its manufacturing and R&D facilities, it is in a position to keep pace with the changing technologies. However, the company needs to keep its finger on the pulse of the market so that it can be in a position to deliver the goods as fast as they are demanded.

During the last fiscal year, for instance, it did two-thirds of its business in the AMJ 1996 and JFM 1997 quarters, with business dipping between July and December 1996.

Besides being able to keep pace with the technological changes, ATD has to be a technology leader, and bring out innovative products before any of its global competitors. To be able to do so, the company has to anticipate or forecast the needs of the market, rather than just equip itself with the latest technology, which somebody has developed. The company is well placed because of the investments it has made in R&D, apart from the improvement in its bottomline due to budgetary incentives. Another factor that is becoming increasingly critical is the reduced order-processing time between order placement and delivery. This means that companies have to not only manufacture products but also ship them on time to meet the deadlines. With ATD's increasing volumes, the challenge is only going to become more difficult.

From its present revenues, ATD hopes to become a Rs 300-crore company by the turn of the century—not a very ambitious target set up by this Tandon Group company, as compared to other IT companies. But looking at its record over the past few years, the target is definitely an optimistic one. Besides the effort that this two-fold increase would involve, ATD would have to perform consistently. Also, it cannot afford to have wayward growth as it has been showing in the past few years. Raw performance would also be a major factor. An annual growth rate of about 15 to 20 percent, as exhibited last year, will not help ATD reach its target. It will have to aim at a growth rate of around 40 percent to fulfill its dream.

While the company is planning to upgrade and expand its facility, that should just be one part of its gameplan: it also has to find new customers and markets for its products. Only then would it be able to achieve consistent growth. Volumes will also have to go up significantly for the company to become a player and not a mere spectator in the global arena.

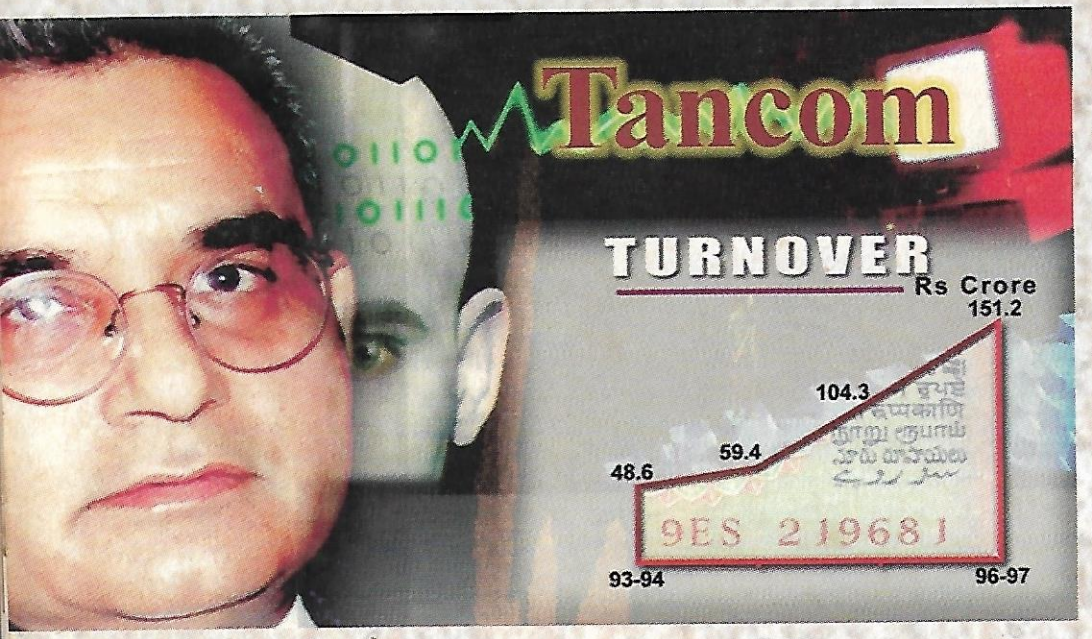
Last year, ATD turned out 15.35 lakh headstacks and 1.57 lakh head gimbal assemblies—figures that will have to grow exponentially for ATD to remain in the Top 20 club. It must also adopt a long-term strategy in order to develop a market for itself.

In a market characterized by volumes and price pressures, ATD will have to display an astuteness and swiftness, so as to remain ahead in the global game.

ADVANCE TECHNOLOGY DEVICES

YEAR OF START-UP	:	1986
PRODUCTS/SERVICES	:	Winchester headstack assemblies
CEO	:	ML Tandon
EMPLOYEES	:	2,604
HEAD OFFICE	:	# 59, SDF II, SEEPZ, Andheri (East), Mumbai 400096
TEL	:	8215361, 8300502

Ogilvy &



Finding its way back into the Top 20 club has not been an easy ride.

20 The Prodigal Returns

At number 23 last year, this Tandon Group company has done remarkably well to climb over into the exclusive club of DQ Top 20 at # 20. Tancom Electronics has achieved this by posting a revenue figure of Rs 151.18 crore, up from Rs 104.32 crore in 1995-96. Having grown by a whopping 77 percent in 1995-96, the company increased its revenues by a considerable 44.92 percent in 1996-97. And although it was not able to achieve its target of Rs 200 crore for the year, it certainly has performed very well.

Established in 1982, Tancom, an ISO 9002-certified company, garnered an additional market of just under Rs 47 crore last year, after having increased its business by about the same amount the previous year as well. Cost of production advantages appear to be behind the success of the company.

The company, which operates from SEEPZ in Mumbai, is a major exporter of Winchester headstacks, double MIG-head gimbal assemblies, and voice coils. The company is reportedly the only one which manufactures headstacks for 3.5" drives of 1.2 to 4 GB using the high-capacity MIG head. According to the company, its headstacks are the world's only non-contact ones for this capacity.

The other advantage, besides lower cost of production, that Tancom has is flexibility. Many times in the past years, the company has displayed an amazing knack for adapting itself to the changing needs of the exports market and reorienting its strategies to those markets. As the PC market proliferates and the consequent changes in HDD vendors' needs take place, this clear advantage will form the underpinning of Tancom's strategy in the markets that it addresses.

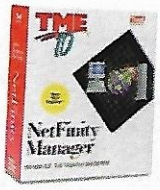
FORECAST

- R&D spending will increase
- Will seek OEMs in new geographies
- May face pressure on pricing
- Opportunity for forward integration exists

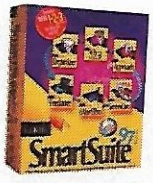
the

"machines that power-up, back-up and upgrade themselves so I can do the important stuff"

solution



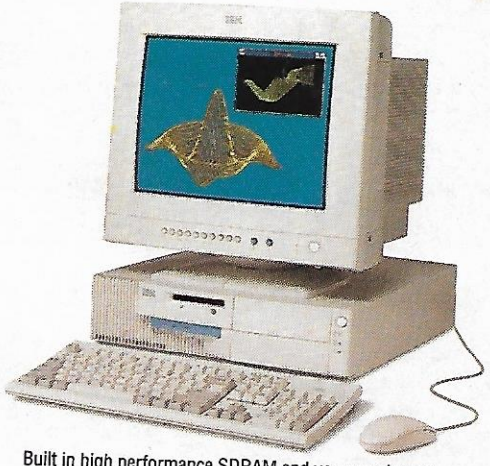
With Wake on LAN and NetFinity, you can power up PCs and manage the network from your desk.



To get you off and racing IBM PC 300 GL Series comes with Lotus SmartSuite at no extra cost.

intel inside
pentium® PROCESSOR

IBM and Intel work closely together to ensure total compatibility



Built in high performance SDRAM and you can choose from 133MHz to 166MHz Pentium®processor, SMART HDD from 1.2 GB to a giant 2.5 GB.

Technology is supposed to make work easier. Right? Then why do people spend so much time managing their networks?

To help you work better, we started by making networks easier to manage.

Introducing the new IBM PC 300 GL series, designed for superior manageability. With features like Wake on LAN, LAN Client Control Manager and TME 10 NetFinity, network managers can remotely power up any PC in the network, configure them, diagnose problems or control software usage right from their own office.

In addition, the SMART hard drive helps avoid data loss in the unlikely event of disk failure. Rest assured, we provide support with a 3 year warranty.

In short, our technology will take care of your network, so you can concentrate on the important stuff.

IBM

Solutions for a small planet™

For more information visit us at http://www.pc.ibm.com/desktop or call TISL*Direct* at: **Bangalore** Ph: 5269050, **Calcutta** Ph: 2826358 Extn.: 207, **Chennai** Ph: 8269147 Extn.: 326, **Hyderabad** Ph: 811428, **Mumbai** Ph: 8200454, **New Delhi** Ph: 3327492 Extn.: 272.
TME10 is a trademark of Tivoli Systems Inc. The Intel Inside logo and Pentium are registered trademarks of Intel Corporation. Lotus SmartSuite is a registered trademark of Lotus Development Corporation.
IBM is a registered trademark and Solutions for a small planet and NetFinity are trademarks of International Business Machines Corporation. © 1997 IBM Corp. All rights reserved.

Ogilvy & Mather 5630